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MGMT210

Final Project: Fictional Company EZGlam

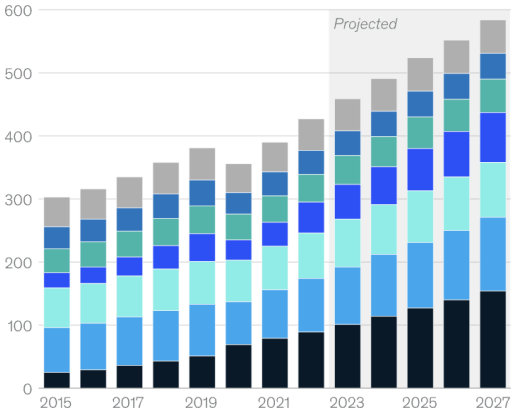
The existing company that I'm basing my fictional business on is Etsy, the online marketplace best known for selling handmade crafts. My new company is called EZGlam, where I focus on partnering with cosmetic product suppliers so that they can sell their products online. EZGlam is similar to Etsy in the sense that independent businesses can set up digital stores to sell products that will be delivered to customers conveniently by mail with the option for expedited shipping. For example, a family-owned beauty supply store that wants to create an online storefront can do so using EZGlam. EZGlam differs from Etsy because it's focused on selling only beauty and cosmetic products like nail supplies, hair products, skincare products, and other beauty products intended for usage by professionals or customers. I'm choosing to focus my e-commerce company on the beauty industry because of my interest in beauty, as well as the growth of the online beauty industry within recent years. Additionally, my mother is a nail-salon owner and manager that makes frequent trips to the nail supply store, but has to drive about an hour away in order to get great quality supplies for the best price. One time, she bought nail supplies online from a nail supply store based in California. Although the business is reputable in quality, the items took a while to ship and the shipping costs were high. This is why I want to create EZGlam, so that professionals and customers can have the convenience of buying from their favorite beauty supply stores online with fair shipping prices. Since it's

inspired by Etsy, EZGlam will have several options for shipping including expedited shipping that can take as little as one to three days to ship. As for my team of employees, I plan to start with a relatively small team consisting of less than ten members that specialize in different areas. My role is the Founder and top manager that oversees the entire organization's performance. My team will consist of a middle manager that assists me with managing each functional task specialist. I will be looking for a software developer and graphic designer to create a user-friendly website and interface, a marketing associate to advertise the platform, a finance manager to keep track of expenses and profits, a customer service associate that will handle customer concerns, and legal advisor who will aid the company in making decisions that abide by laws and regulations. I believe that these are the most important employees to have in my start-up company; however, once the company grows I will add more roles to the team such as a data analyst. The greatest advantage of creating a start-up in the online beauty industry is that the industry has experienced substantial growth over the past decade. According to the McKinsey article "The beauty market in 2023: A special State of Fashion report," e-commerce in beauty nearly quadrupled between 2015 and 2022, and its share exceeds 20 percent.

Exhibit 2

E-commerce is the fastest-growing channel for beauty products.

Global beauty market retail sales, by channel, $ billion



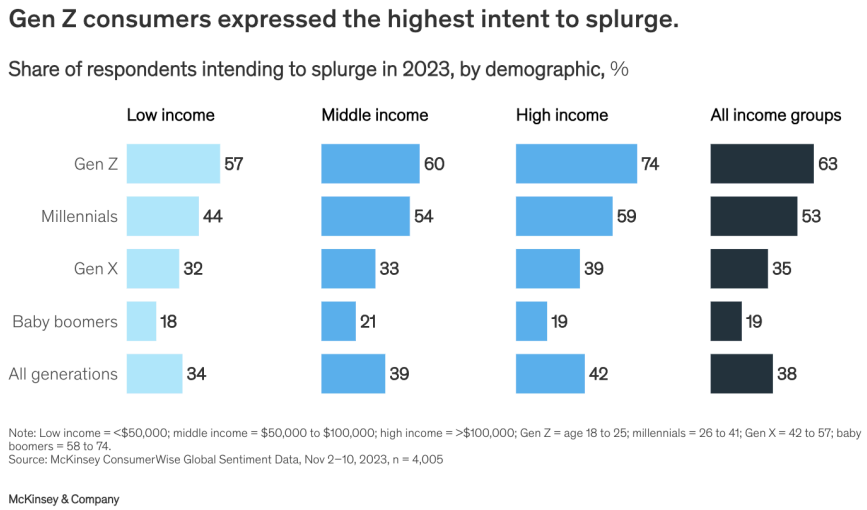
	Year-over-year growth, % 2015–19	2019–22	2022–27 projected
Total	6	4	6
Other	2	0	2
Department store	4	–2	2
Drugstore/ parapharmacy	4	0	4
Travel retail	17	4	10
Grocery retail	2	2	4
Specialty retail	4	1	7
E-commerce	20	21	12

Source: Euromonitor; McKinsey analysis; McKinsey Global Institute analysis

McKinsey & Company

Since the overall outlook on the industry's growth within the next several years is positive, EZGlam has a great chance of succeeding if the business plan is executed correctly. However, there are a few challenges to face when launching a start-up in today's online beauty industry. One is competing with e-commerce giants like Amazon and Ulta, who are dominating the online beauty market currently due to their favored customer service skills. Another challenge may be setting the appropriate selling costs on EZGlam that are fair and enticing enough for sellers to want to use the platform. According to Etsy's website, you are charged a one-time $15 fee for setting up your online shop, then a $0.20 fee for each listing you post to your page and a 6.5% transaction fee for each item you sell. Each of these fees are challenging to top since businesses may prefer to use other platforms depending on their fees. Since I have a financial manager on my team they can use their economic expertise to set the best selling fees that match the industry prices. Despite these challenges, EZGlam can succeed if I conduct proper research and create a business plan that will be executed with effective management skills.

Now that I've defined EZGlam and the overall goal of it, I must analyze the current general environment of the online beauty industry and make decisions around each dimension of it as they directly impact my company's future success. A current innovation in the technological dimension of the e-commerce retail industry that has been taking over companies has been the usage of AI-powered tools to enhance the online shopping experience. According to the article "AI in Retail and E-Commerce: 27 Examples to Know" by Mike Thomas, companies like Amazon have implemented AI chatbots into their platforms to help customers with FAQ and other issues. The article also states that the company Smartly uses AI-powered social media marketing and eBay has used AI to detect credit card fraud. A challenge that the online beauty industry faces in the technological dimension is being able to keep up with fast-changing trends, especially the AI trend and social media technologies like TikTok Shop's usage of algorithms and social media influencers to promote products ("TikTok's Shop Era of Super Subsidies Is Ending"). In order to overcome the challenge of keeping up with fast-changing trends, I'd have to work with my marketing manager, data analyst and software engineer to better understand user data trends and implement new technology that will ultimately help EZGlam stay relevant. As for the economic dimension of the current general environment, consumers in the U.S. have positive spending habits when it comes to beauty and personal care products. A survey done by McKinsey & Company finds that 32% of consumers in the US had the intent to splurge on beauty and personal care in 2023 and Gen Zers have expressed the highest intent to splurge.



Since consumer spending habits have become favorable recently, EZGlam has a great chance at attracting and retaining long-term users. One challenge in the economic dimension involves dealing with the uncertainty brought by fluctuating market conditions, such as the sudden onset of the COVID-19 pandemic and its economic effects. However, uncertainty can be combated by management practices that involve involvement and adaptability. According to the article "Leading Your Workforce During an Economic Crisis" by Gregory P. Smith, a few ways to deal with an economic crisis as a manager are keeping communication open, implementing training programs that address lowered productivity, and offering incentives to employees to boost performance. Practices like these can help EZGlam stay strong and resilient during a time of economic crisis. An aspect of the current legal dimension of the general environment involves abiding by e-commerce regulations in order to protect digital privacy of businesses and users. According to the blog post, "Ecommerce Laws: What to Know When Selling Online," e-commerce laws are always changing therefore companies should always stay updated when it comes to state regulations. For example, the article states that California has one of the strictest laws, the California Consumer Privacy Act (CCPA) requires sellers to give shoppers the right to know what information is being collected and how it's being used, delete their information, and

opt out of their information being shared or sold. It's important for EZGlam to take measures to comply with laws to avoid legal violations, financial losses or damaged customer trust. The current international dimension of the general environment involves the rising influence of Asian markets in the beauty industry. According to the article "The beauty market in 2023: A special State of Fashion report," the Middle East and India are expected to fuel growth in the beauty industry by 2027. The challenge that this poses is having to compete with international sellers and suppliers from other countries. In order to handle competition from international markets, EZGlam must adopt a global mindset which encourages building trade relationships with companies from other countries. Overall, the current technological and economic dimensions of the general environment are favorable thanks to innovations like AI that enhance the online shopping experience, along with the recent positive spending habits of consumers. However, the legal and international dimensions of the current general environment pose challenges for EZGlam because of digital privacy risks and the rise of international online markets. EZGlam has the opportunity to succeed due to the conditions of the current general environment, but must be managed cautiously in order to deal with competitors, rapidly evolving trends, and economic uncertainty.

Now I must define the company mission statement which will express the company's purpose, values and target market in a formal statement. The purpose of EZGlam is to serve as a place for independent businesses to set up online storefronts to sell cosmetic products intended for the usage by either professional cosmetologists or customers. EZGlam accomplishes this with an aesthetically pleasing and user-friendly website, the fairest selling prices for businesses, fast shipping and satisfaction guarantee. EZGlam's goal is to provide cosmetologists with the easiest

access to their favorite supplies and to inspire beauty enthusiasts to feel their best. Here is EZGlam's formal mission statement:

We provide the beauty community with the most convenient access to their favorite premium brands and products for the most affordable prices and fastest shipping.

Be your most confident self with EZGlam.

In order to succeed and face the many competitors in the online beauty industry, EZGlam should focus on strategic management traits such as marketing, service provision, usage of technology, and streamlining the delivery service. For marketing, EZGlam will focus on creating unique advertisements that will target the beauty community. As mentioned earlier, Gen Z splurges the most on beauty and personal care products. Therefore, our marketing manager should prioritize creating ads tailored to appeal to Gen Z. A few ways to do so include using social media ads, paid sponsorships, promotions, and physical ads like billboards and flyers to bring awareness to the company. For service provision, EZGlam will focus on consolidating a reliable customer service team that can ensure customer satisfaction. Some ideas include having live chat, FAQ section, and a customer service associate to offer personalized solutions to inquiries. For usage of technology, EZGlam will focus on researching the latest web innovations to incorporate into the website and mobile app. For example, including AI-powered tools that can allow sellers to post listings easily and customers to have a more personalized shopping experience. Lastly, to streamline the delivery service, EZGlam will take inspiration from the e-commerce giant Amazon who maximizes delivery efficiency through the usage of advanced software to optimize scheduling and partners with shipping carriers like UPS to improve delivery

to all areas whether they're rural, suburban, or urban ("How Amazon Delivers Packages So Fast").

The last several aspects of EZGlam I'd like to discuss are facilitating diversity and inclusion, managing social media, corporate culture, and setting precautions for economic uncertainty. To facilitate diversity and inclusion, EZGlam will have diversity initiatives and programs to improve employee morale and decrease interpersonal conflicts. I mentioned earlier that I plan to startup EZGlam with under ten employees, but didn't include a human resource manager. As EZGlam progresses, a human resource manager can be a useful addition to the team because they can facilitate engagement between employees by encouraging participation in networking events and training seminars. Another way to boost diversity and inclusion is to create a feedback system where employees can provide feedback on evaluation and promotion decisions. EZGlam's social media presence will be managed by our marketing manager who will be responsible for creating a page on each platform such as Facebook, Instagram, TikTok, and LinkedIn. According to the blog post "How to Grow Your Ecommerce Business," social media influencers are an effective way to boost brand awareness, especially micro influencers who have smaller followings but high engagement rates. Our marketing manager should reach out to influencers to offer paid partnerships for doing product reviews or videos on how to sell on EZGlam. As for the corporate culture, EZGlam will encourage involvement and adaptability to meet the needs of employees, boost cooperation, and be responsive to changes in the external environment. A few ways to build a great culture within EZGlam include building trust with team members by offering flexible schedules, fostering a collaborative environment by allow employees to express ideas fearlessly, and cultivating equity ("Companies With Great Culture"). As previously mentioned, ways to combat economic uncertainty include keeping communication

open, implementing training programs that address lowered productivity, and offering incentives to boost performance. According to the LinkedIn article "11 strategies to successfully navigate through an economic crisis or recession" by Flavilla Fongang, several ways to handle economic crises as a manager include understanding target audience emotions that pertain to spending, adjusting marketing budget, building long-term customer trust, and improving affordability. These strategies will be formulated between our financial manager, marketing manager and myself, the top manager.

In conclusion, EZGlam has a great chance at success through effective management strategies such as using the latest technology, boosting collaboration within the workplace, having a global mindset, and building brand loyalty through effective marketing. EZGlam's operations are managed by analyzing and understanding the external environment and its dynamic technological, economic, international and legal dimensions. EZGlam's mission statement serves as a way to provide clear purpose and vision for the company as a broad formal statement. EZGlam's core competencies focus on marketing and social media usage, service provision, usage of technology and delivery service in order to maximize efficiency and build relationships with customers. The corporate culture at EZGlam includes involvement, adaptability, diversity and inclusion that will foster an environment for high-performing employees. Overall, EZGlam will succeed if the management practices stay consistent and adapt to evolving trends.

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